The world in brief

Catch up quickly on the global stories that matter

Photograph: AP

America's secretary of war, Pete Hegseth, said that a US Navy submarine sank an Iranian warship in the Indian Ocean. He called it America's first sinking of an enemy ship with a torpedo since the second world war. Earlier Sri Lankan officials said that the *IRIS Dena* was struck off the south Asian country's coast, and that around 140 people were missing.

Turkey's defence ministry said that NATO air-defence systems in the Mediterranean shot down an **Iranian** "ballistic munition" that was headed towards its air space. Debris from the missile interceptor landed in southern Turkey; no one was hurt. Iran is expanding its strikes against American allies across the region. Thus far Turkey has not allowed America to launch strikes from its territory.

Reports suggest that **Mojtaba Khamenei**, the 56-year-old son of the late **Ayatollah Ali Khamenei**, has emerged as the frontrunner to become **Iran's supreme leader**. The country's Assembly of Experts, a group of 88 senior clerics, met on Tuesday to deliberate ahead of the former supreme leader's funeral, which starts on Wednesday. Israel's defence minister, Israel Katz, said that "any leader" chosen by the regime would become a "target for elimination".

Stockmarkets in Asia fell sharply on Wednesday, but those in Europe were steadier. Brent crude, the global **oil** benchmark, was also relatively flat at around $81 per barrel, despite America's promises to protect shipping in the Strait of Hormuz. QatarEnergy, the world's largest maker of liquefied natural gas, declared force majeure, meaning it cannot fulfil contracts. It halted LNG production after Iranian attacks on its facilities.

America's treasury secretary, Scott Bessent, said the Trump administration would probably increase its global tariff from 10% to 15% this week. Mr Trump introduced the 10% levy last month after the Supreme Court ruled that the bulk of his tariffs were illegal. He swiftly threatened to raise it to 15%, but did not specify when. Mr Bessent said he believed the tariffs would be "back to their old rates within five months".

China's purchasing manufacturing index, a gauge of producer sentiment, fell to a four-month low of 49.0 in February. That is down from 49.3 in January (anything below 50 indicates contraction). China's National Bureau of Statistics blamed an unusually long lunar new year holiday. The unwelcome news comes as China's rubber-stamp parliament convenes to decide economic targets for the coming year.

Fears of a **private-credit** bust intensified on **Wall Street** amid a sell-off triggered by a surge in redemptions and the industry's exposure to AI-vulnerable software firms. On Tuesday Blackstone, an asset-management giant, said record outflows in its flagship private-credit fund exceeded inflows in the past quarter. Shares in Blackstone dropped as much as 9% on Tuesday. The share prices of two rival firms, Apollo and KKR, fell by 6% and 4% respectively.

Figure of the day: Six percentage points, the polling lead that Tisza, a Hungarian opposition party, had over Viktor Orban's Fidesz as of February 27th. Follow the race for April's elections on our tracker.

Photograph: Getty Images

Iran’s new power struggle

American and Israeli bombardment and an internet blackout make it difficult to read public opinion in Iran. The regime is still widely loathed. But as bombs fall dissent has retreated indoors. On Iran’s streets mourning for Ayatollah Ali Khamenei—killed on Saturday—has eclipsed grief for the thousands of protesters slain in January at his command.

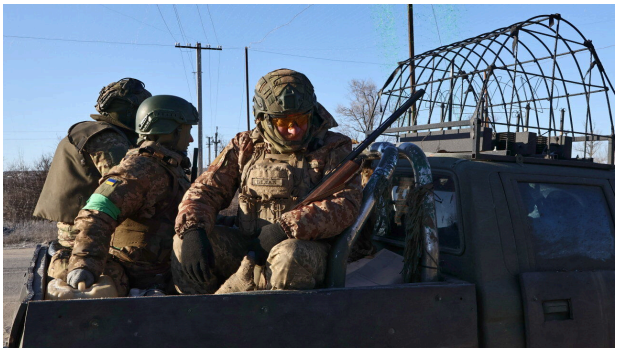
A worn-out regime has found renewed purpose under fire. Anti-Americanism and anti-Zionism, which had become threadbare ideologies, have gained fresh force. The restraints that Khamenei placed on Iran’s armed forces are off. And political hardliners, emboldened by war, appear to have replaced reformists in the struggle to name Khamenei’s successor as supreme leader. Talk of a managed transition—or of repairing the rupture with America that has defined the regime since 1979—has faded. Reports suggest the leading contender is Khamenei’s son, Mojtaba Khamenei, who has close ties to the regime’s security apparatus.

Photograph: Marijan Murat/dpa

An unfolding energy nightmare

Energy analysts modelling a war involving Iran have long feared two developments: the Islamic Republic lashing out at its oil-rich neighbours and a blockade of the Strait of Hormuz, through which a third of global seaborne crude and a fifth of liquefied natural gas transit daily.

Now both are happening at once. Iran has struck energy facilities in Saudi Arabia, Qatar, Kuwait and the United Arab Emirates. The Islamic Revolutionary Guard Corps, Iran's praetorian guard, have declared Hormuz closed and vessels have been hit. As a result, energy prices are catching fire. Iraq is running out of storage for its stranded oil and cutting output; Kuwait may follow. Asian buyers are already turning elsewhere to replace the oil and gas they no longer get from the Gulf, pushing up prices for everyone. It is unclear whether Donald Trump's promise of insurance and naval escorts for tankers in the Gulf will do much to get oil flowing again. The economic consequences of the energy shock could be far-reaching.



Photograph: AP

How the Iran war hurts Ukraine

Ukraine’s president, Volodymyr Zelensky, expects trilateral talks with America and Russia to go ahead this week despite the outbreak of war in the Middle East. Iran’s regime is an ally of the Kremlin and has supplied drone technology to Russia’s armed forces. But the war could have negative consequences for Ukraine. Higher oil prices will bring some relief to Russia’s hard-pressed economy. And the need for American air-defence interceptors by Israel and America’s Gulf allies will mean that fewer are available for Ukraine.

Even so, things are going a bit better for Ukraine on the battlefield. The head of its armed forces, Oleksandr Syrsky, claims that his troops retook more territory in February than Russia captured. The coming of spring should bring some relief to civilians whom Russia has tried to freeze into submission through relentless strikes on Ukraine’s power grid. Progress at the talks, however, is highly unlikely.

Photograph: Getty Images

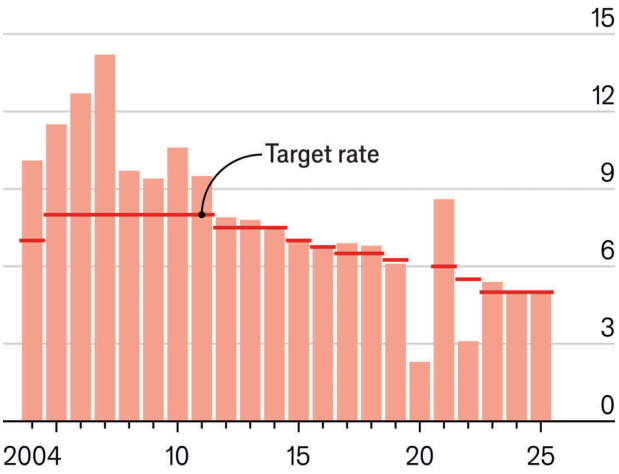
China’s rubber-stamp parliament convenes

This week China’s “two sessions”, the annual meeting of its legislature, the National People’s Congress, and that of its advisory body, kick off in Beijing. Li Qiang, the prime minister, will set out the country’s goals for the coming year to 2,900-odd delegates at the NPC on Thursday. He may trim China’s annual GDP growth target from “around 5%” (as it has been for the past three years) to 4.5-5%, amid a lingering property slump.

China’s next five-year plan, which will cover the period from 2026 to 2030, will also be released during the NPC session, which usually lasts around a week, for delegates to give their approval. It will set out guidance for officials on everything under the sun, from encouraging China’s cautious consumers to spend more, to boosting birth rates. But the focus will be achieving self-sufficiency in technologies where it still relies on foreign equipment or know-how, such as semiconductors and aircraft engines.

Where to next?

China, GDP, % increase on a year earlier



Sources: LSEG Workspace; Bloomberg

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 GMT on Friday to . We'll pick three winners at random and crown them on Saturday.

Wednesday: Arturo Toscanini, Leopold Stokowski and Claudio Abbado all achieved fame in what role?

Tuesday: Which book by Nate Silver, published in 2012, is about the art of interpreting statistics?

You have to be slightly blind to believe in any cause.

Elizabeth Smart